ZAYO GROUP HOLDINGS, INC. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED STATEMENTS

invoiced based on usage and are billed in arrears and recognized as the usage occurs. Revenue is recognized on remote hand services as the services are provided. Revenue recognized by the zColo segment from these non-lease arrangements was $38.5 million, $39.6 million and $36.9 million during the years ended June 30, 2019, 2018 and 2017 respectively.

Contracts in the Company's zColo segment do not include significant financing components.

The Company's contract terms for Layer 2/3, Transport, Allstream and Other segment businesses include terms that may be fixed or variable. The Company recognizes revenue on its fixed rate contracts as the product offerings are rendered, as the customer simultaneously receives and consumes the benefit of the products provided. Variable contracts are invoiced based on usage and are billed in arrears and recognized as the usage occurs. These contracts do not include significant financing components and generally include a single performance obligation. The transaction price in contracts that include multiple performance obligations is allocated to each performance obligation based on the Company's standalone selling price for each product offering. The Company estimates the standalone selling price to be the price of the offering when sold on a standalone basis without any promotional discounts.

Remaining Performance Obligation Associated with Non-Lease Arrangements

A majority of the Company's revenue is provided over a contract term. When allocating the total contract transaction price to identified performance obligations, a portion of the total transaction price relates to performance obligations that are yet to be satisfied or are partially satisfied as of the end of the reporting period.

In determining the transaction price allocated to remaining performance obligations, the Company does not include non-recurring charges and estimates for usage.

Remaining performance obligations associated with the Company's contracts reflect recurring charges billed, adjusted to reflect estimates for sales incentives and revenue adjustments.

The table below reflects an estimate of the remaining transaction price of fixed fee, non-lease revenue arrangements to be recognized in the future periods presented. The table below does not include estimated amounts to be recognized in future periods associated with variable usage-based consideration.

	Year Ended June 30,						
	2020	2021	2022	2023	2024	Thereafter	Total
	(in millions)						
Reportable Segment							
Zayo Networks	621.4	295.9	117.4	36.7	14.1	17.5	1,103.0
zColo	21.7	11.0	6.2	3.5	2.5	2.0	46.9
Allstream	110.3	26.7	11.8	1.6	0.3	—	150.7
Total	$ 753.4	$ 333.6	$ 135.4	$ 41.8	$ 16.9	$ 19.5	$ 1,300.6

Contract Assets and Liabilities

The timing of revenue recognition may differ from the time of billing to the Company's customers. Customer receivables represent an unconditional right to consideration net of an estimated allowance for doubtful accounts. Contract balances represent amounts from an arrangement when either the Company has performed, by transferring a solution to the customer in advance of receiving all or partial consideration for such goods and offerings from the customer, or the customer has made payment to the Company in advance of obtaining control of the goods and/or offerings promised to the customer in the contract.

Contract liabilities arise when the Company bills its customers and receives consideration in advance of providing the goods or offerings promised in the contract. Contract liabilities are recognized as revenue when product offerings are provided to the customer. Contract liabilities are presented in the Company's consolidated balance sheet as deferred revenue.